

SELLER TOOLS

Seller's Net Proceeds Calculator

A worksheet for figuring out what you actually walk away with after a Minnesota lake-home sale — with a worked example you can compare against.

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Why this exists

Sale price is not net proceeds. Between commission, payoff, MN deed tax, prorations, and seller-paid closing items, most lake-home sellers in Minnesota walk away with somewhere between 88% and 93% of the gross sale price. This worksheet helps you estimate your number before you list.

The formula

Net to seller

Net = Sale Price – Mortgage Payoff – Real Estate Commission – MN Deed Tax (mortgage registration tax for any retained mortgage) – Closing-Cost Items – Property-Tax Proration – Seller Concessions – Repair Credits ± Prepaid Items

The line items, explained

1. Sale price

Negotiated final purchase price in the executed purchase agreement.

2. Mortgage payoff

Get a current mortgage payoff statement from your lender, valid through the closing date. The number on your monthly statement is not your payoff — payoffs include per-diem interest accrual through the funding date and any recording fees.

3. Real-estate commission

Typically 5–6% of sale price total, split between the listing brokerage and the buyer's brokerage. Negotiable. As of 2024, MN buyers and sellers explicitly negotiate buyer-broker compensation in writing — confirm the structure with your listing agent before listing.

4. MN State Deed Tax

Minnesota imposes a state deed tax of \$3.30 per \$1,000 of consideration (\$1.65 in Hennepin and Ramsey counties), traditionally paid by the seller. On a \$600,000 sale outside the metro, that's \$1,980. Confirm county exceptions with your title company.

5. Closing-cost items (seller side)

- Owner's title insurance (often paid by seller in MN custom; varies by county and contract)
- Title company / closing fee
- Recording fees for satisfaction of mortgage and any other liens
- Document-prep fees
- Wire / courier / mobile-notary fees if applicable
- Well & septic compliance certificates (if not already paid)

6. Property-tax proration

MN property tax is paid in arrears (May and October). At closing, the seller credits the buyer for the unpaid portion of the calendar year up to the closing date. On a \$10,000 annual tax bill closing July 31, that's roughly \$5,800 of seller credit.

7. Seller concessions

Negotiated credits: closing-cost contributions, repair credits, paint allowances, dock or boat-lift inclusions documented as cash credits. These come off your net at closing.

8. Prepaid items returned to seller

If you prepaid the lake-association dues, propane fill, dock storage, or insurance for a period extending past closing, you'll typically be reimbursed pro-rata. This adds to your net.

Worked example: \$600,000 cabin sale on Gull Lake

Line	Calculation	Amount
Sale price	—	\$600,000
Less: mortgage payoff	Loan balance + per-diem to closing	(330,500)
Less: real-estate commission	5.5% total (\$600k × 0.055)	(33,000)
Less: MN State Deed Tax	\$3.30 per \$1,000 (\$600,000 × 0.0033)	(1,980)
Less: title insurance (owner)	Seller-paid per local custom	(1,650)
Less: closing / title fee	Estimate	(550)
Less: recording fees	Satisfaction of mortgage etc.	(120)
Less: well & septic compliance	Already paid for / pre-listing certs	(450)

Line	Calculation	Amount
Less: property-tax proration	Seller portion Jan 1 – July 31 of \$10,000	(5,816)
Less: seller concession	Buyer closing-cost credit (negotiated)	(3,000)
Less: repair credit	Riprap touch-up cash credit	(2,500)
Plus: prepaid lake assoc. dues	Prorated reimbursement Aug–Dec	+ 240
Plus: propane prorated	Tank reading credit	+ 380
NET to seller (estimate)	Sum	\$221,054

Numbers are illustrative. Real closings vary with the specific deal, county, title company, and negotiated terms. Use this as a starting estimate; your title company will produce a Closing Disclosure with the precise numbers a few days before closing.

Your worksheet

Line	Your number
Sale price	\$ _____ _____
Mortgage payoff	(\$ _____ _____)
Real-estate commission (%)	_____ % × sale price = (\$ _____)
MN State Deed Tax	Sale price × 0.0033 = (\$ _____)
Title insurance (owner)	(\$ _____ _____)
Title / closing fee	(\$ _____ _____)
Recording fees	(\$ _____ _____)
Septic compliance / water test	(\$ _____ _____)
Property-tax proration (seller portion)	(\$ _____ _____)

Line	Your number
Seller concessions (closing-cost credit)	(\$ _____ _____)
Repair credits	(\$ _____ _____)
Other seller-paid items	(\$ _____ _____)
Prepaid items (returned to seller)	+ \$ _____ _____
NET TO SELLER (estimate)	\$ _____ _____

Common surprises

- **Per-diem mortgage interest.** Adds 5–15 days of interest to your payoff vs. the statement balance.
- **Buyer-broker compensation.** Post-2024, this is its own negotiation. Confirm whether your listing agreement covers a flat percentage to a buyer broker or whether the buyer pays directly.
- **Late tax statement.** If a tax statement hasn't been issued for the current year at closing, the title company estimates from the prior year — sometimes high, sometimes low.
- **Capital gains.** If the property is not your primary residence, gain on sale is generally taxable. The IRS Section 121 exclusion (\$250k single / \$500k joint) does not apply to seasonal cabins. Consult your tax advisor.
- **Personal property included.** If furniture, boats, or lifts are included, the title company may allocate part of the price to personal property — affecting deed tax and capital gains. Discuss before drafting.

Companion resource

Pair this worksheet with the Minnesota Lake Home Seller Guide (companion resource) for the full pricing-and-prep framework that gets you to a strong sale price in the first place.

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